JanGyan — Learn Without Limits

MODULE 7: Loans, Credit & Taxation

Category: Financial Literacy & Digital Finance

> *"Borrowing wisely and paying taxes correctly are not burdens — they are the responsibilities that keep your financial credibility intact."*

Module Overview

This handbook is your complete, beginner-to-advanced guide to **Loans, Credit & Taxation** — how home, education, and personal loans work, what shapes your credit score, and the basics of income tax, PAN, and GST. Whether you are applying for your first loan or filing your first tax return, this handbook is written so that you can read it once and walk away confident and informed.

By the end of this module, you will not need to search anywhere else to understand the fundamentals of loans, credit, and taxation.

Learning Objectives

After completing this module, you will be able to:

- Explain the main types of loans and how they differ
- Understand interest rates and how EMIs are calculated
- Explain what a credit score (CIBIL) is and how to build a good one
- Understand the basics of income tax and how tax slabs work
- Explain the importance of a PAN card in financial life
- Understand GST at a basic, everyday-consumer level
- Avoid common mistakes related to borrowing, credit, and tax filing

Why This Topic Matters

Loans and credit let you make major purchases — a home, an education, a vehicle — before you've saved the full amount, while taxation funds the public services every citizen relies on. Understanding both prevents costly mistakes and keeps your financial record clean.

> **Reality Check:** The RBI's repo rate stood at **5.25%** as of August 2026, with home loan interest rates for well-qualified borrowers starting around **7.10%**. Meanwhile, under the new income tax regime for FY 2025-26 and FY 2026-27, income up to **₹12 lakh (₹12.75 lakh for salaried individuals)** is effectively tax-free due to an enhanced rebate — a significant relief most taxpayers should be aware of.

Loans and taxes are not just paperwork — they directly shape your monthly budget, your creditworthiness, and your long-term financial reputation. This module builds a clear, practical foundation for all three.

This is why JanGyan continues its Financial Literacy journey with this module on Loans, Credit & Taxation.

Introduction

A **loan** is money borrowed from a bank or lender that must be repaid over time, usually with interest. **Credit** refers to your overall ability and track record of borrowing and repaying responsibly. **Taxation** is the process by which citizens contribute a portion of their income or spending to fund government and public services.

In simple words: loans help you access money you don't yet have, credit reflects how trustworthy you are with borrowed money, and taxes are your contribution to the country that runs alongside your own finances.

Concept	Role
Loan	Borrowed money to be repaid with interest over an agreed period
Credit Score	A numeric measure of your borrowing and repayment track record
Tax	A mandatory contribution to government revenue, based on income or consumption

Fundamental Concepts

Key Definitions

- **Principal** — The original amount of money borrowed, before interest.
- **Interest Rate** — The percentage cost charged annually for borrowing money.
- **Tenure** — The agreed time period over which a loan is repaid.
- **EMI (Equated Monthly Instalment)** — A fixed monthly payment covering both principal and interest.
- **Collateral** — An asset pledged to secure a loan, which the lender can claim if you default.

Complete Detailed Explanation

Part A — Secured vs Unsecured Loans

Type	Meaning	Examples
Secured Loan	Backed by collateral; generally lower interest rates	Home loan, gold loan, car loan
Unsecured Loan	No collateral required; generally higher interest rates	Personal loan, credit card debt

Part B — Core Loans, Credit & Tax Topics (Detailed)

This is the heart of the module. Each core topic is explained with a definition, how it works, and its everyday relevance.

1. Types of Loans

Loans are generally categorised by purpose — home, education, personal, vehicle, gold, and business loans — each with different interest rates, tenures, and collateral requirements suited to that purpose.

2. Home Loan

A home loan finances the purchase or construction of a house, secured against the property itself, typically repaid over 15-30 years. As of 2026, home loan interest rates for well-qualified borrowers (CIBIL 750+) start around 7.10% per annum, though rates vary by lender and borrower profile.

3. Education Loan

An education loan funds tuition and related expenses for higher studies, often with a moratorium period (no repayment required) until after the course ends and the student secures employment. Some education loans are eligible for tax deduction on interest paid, under specific provisions of the Income Tax Act.

4. Personal Loan

A personal loan is an unsecured loan for any purpose — medical expenses, a wedding, travel, or debt consolidation — approved based largely on income and credit score. Because it carries no collateral, interest rates are generally higher than secured loans.

> **Tip:** Personal loans are convenient but costly if used repeatedly for everyday expenses — they are best reserved for genuine, one-time needs rather than routine spending.

5. Interest Rates

Interest rates can be fixed (unchanged for the loan term) or floating (linked to a benchmark like the RBI's repo rate, which can rise or fall over time). Most home loans in India today are floating-rate and linked to the External Benchmark Lending Rate (EBLR), which adjusts as the repo rate changes.

6. EMI Basics

An EMI is a fixed monthly payment that combines both principal repayment and interest, calculated so the loan is fully repaid by the end of its tenure. In the early years of a loan, a larger share of the EMI goes toward interest; over time, more goes toward the principal.

Factor	Effect on EMI
Higher loan amount	Higher EMI
Higher interest rate	Higher EMI
Longer tenure	Lower EMI, but more total interest paid overall

7. Credit Score (CIBIL)

A CIBIL score is a three-digit number between 300 and 900 that reflects your creditworthiness, based on repayment history, credit utilisation, credit mix, and more. A score of 750 and above is generally considered excellent and improves your chances of loan approval at better interest rates.

8. Income Tax Basics

Income tax is a direct tax on your earnings, paid to the government based on which income tax slab you fall into. India offers two regimes to choose from — the new regime (lower rates, fewer deductions) and the old regime (higher rates, more deductions available).

Important Terminologies

Term	Simple Meaning
Moratorium	A period during which loan repayment is paused or not required
Foreclosure	Repaying a loan in full before its scheduled tenure ends
Credit Utilisation	The share of your available credit limit that you're currently using
Rebate	A reduction in tax liability, sometimes bringing it down to zero
Standard Deduction	A fixed amount subtracted from salary income before tax is calculated
ITR	Income Tax Return; the annual filing declaring your income and tax paid

9. PAN Card Importance

A PAN (Permanent Account Number) is a unique 10-character ID issued by the Income Tax Department, linking all your financial transactions — bank accounts, loans, credit cards, investments, and tax filings — under one identifier. Over 70 crore PAN cards have been issued in India, making it the primary identifier used by credit bureaus and financial institutions.

10. GST (Basic Awareness)

GST (Goods and Services Tax) is an indirect tax applied to the sale of goods and services, paid by the end consumer and collected by businesses on the government's behalf. Under the GST 2.0 reform effective September 2025, India simplified its slab structure to primarily **0%, 5%, 18%, and 40%** (removing the earlier 12% and 28% slabs), making pricing and compliance simpler for both consumers and businesses.

Step-by-Step Understanding

How to Improve Your Credit Score

1. Pay all EMIs and credit card bills on time, every time
2. Keep credit utilisation well below your total credit limit
3. Avoid applying for multiple loans or cards in a short period
4. Maintain a healthy mix of secured and unsecured credit over time
5. Check your credit report periodically for errors and dispute any inaccuracies
6. Avoid closing your oldest credit accounts, which can shorten your credit history

Real-Life Patterns

- **The Missed EMI Ripple Effect:** A single missed EMI can lower a credit score noticeably, affecting loan approvals and interest rates for years afterward.
- **The Multiple-Loan-Application Pattern:** Applying for several loans or cards within a short period can lower a credit score due to repeated "hard enquiries."
- **The Long-Tenure Trap:** Choosing a longer loan tenure for a smaller EMI often results in paying significantly more total interest over the life of the loan.
- **The Last-Minute Tax Filing Rush:** Filing income tax returns at the deadline often leads to errors, missed deductions, or the need to file a revised return.

Practical Scenarios

Scenario 1: You want a lower EMI on your home loan and are considering extending the tenure.
This lowers your EMI, but usually increases the total interest paid over the loan's life — compare both figures before deciding.

Scenario 2: You've missed a credit card payment and are worried about your credit score.
Pay the outstanding amount as soon as possible and stay consistent going forward — a single late payment's impact reduces over time with good behaviour.

Scenario 3: Your annual taxable income is ₹12 lakh under the new tax regime.
Under FY 2025-26/2026-27 rules, this is effectively tax-free due to the enhanced rebate under Section 87A.

Scenario 4: You're opening a new bank account or making a large investment for the first time.
You'll need your PAN card — it's mandatory for most financial transactions above specified limits.

Government Bodies & Regulations

- **RBI (Reserve Bank of India):** Sets the repo rate, which influences loan interest rates across the banking system.
- **TransUnion CIBIL & Other Credit Bureaus:** Maintain credit histories and generate credit scores; other bureaus include Experian, Equifax, and CRIF High Mark.
- **Income Tax Department:** Administers income tax law, issues PAN cards, and processes tax returns.
- **GST Council:** Decides GST rates and structure, comprising the Union and State finance ministers.

Key Frameworks

Framework / Rule	What It Covers
Income Tax Act, 2025	India's income tax law, effective from April 1, 2026, replacing the 1961 Act
New Tax Regime (FY 2025-26/2026-27)	Simplified slabs with a ₹60,000 rebate, making income up to ₹12 lakh tax-free
GST 2.0 (effective September 2025)	Simplified GST slabs to primarily 0%, 5%, 18%, and 40%
Credit Bureau Reporting Norms	Lenders now report data four times a month (from July 2026), refreshing credit scores more frequently

Important Statistics

Metric	Figure
RBI repo rate, August 2026	5.25%
Typical home loan interest rate (750+ CIBIL), 2026	Approximately 7.10%-8.50% per annum
CIBIL score range	300 to 900 (750+ considered excellent)
Tax-free income threshold, new regime, FY 2025-26/2026-27	₹12 lakh (₹12.75 lakh for salaried individuals)
GST slabs after GST 2.0 reform (Sept 2025)	0%, 5%, 18%, and 40%
Total PAN cards issued in India	Over 70 crore
NBFC total credit outstanding, expected by March 2026	Approximately ₹48.4 lakh crore

(Figures are approximate, sourced from RBI, Income Tax Department, and GST Council releases as reported through mid-2026; official portals should be checked for the latest updates.)

Best Practices

- Compare interest rates across lenders before taking any loan
- Choose the shortest loan tenure your budget can comfortably support
- Pay EMIs and credit card bills on time, every single time
- Check your credit score periodically and dispute any errors promptly
- Choose the tax regime (new or old) that results in lower tax liability for your situation
- File income tax returns well before the deadline, not at the last minute
- Keep your PAN details updated and linked correctly across accounts

Common Mistakes

- Taking a personal loan for routine, everyday expenses
- Missing EMI or credit card due dates, damaging the credit score
- Applying for multiple loans or cards within a short period
- Choosing a longer tenure without calculating the total extra interest paid
- Not comparing the new and old tax regimes before filing
- Filing income tax returns at the last minute, risking errors

Myths vs Facts

Myth	Fact
"Checking my own credit score lowers it"	Checking your own score is a "soft enquiry" and does not affect your credit score
"A longer loan tenure always saves money"	A longer tenure lowers the EMI but usually increases the total interest paid over the loan's life
"Income up to ₹12 lakh means I don't need to file a tax return"	Filing may still be required even when tax liability is nil, depending on your situation
"GST is only a business concern, not something individuals need to understand"	GST affects the price of nearly everything consumers buy, making basic awareness useful for everyone
"A PAN card is only needed for filing taxes"	PAN is required for many everyday financial transactions, including opening accounts and large investments

Do's and Don'ts

Do	Don't
Compare interest rates across lenders before borrowing	Don't take a personal loan for routine, everyday expenses
Pay EMIs and bills on time, every time	Don't apply for multiple loans or cards in a short period
Check your credit score periodically	Don't ignore errors in your credit report
Compare tax regimes before filing	Don't wait until the last minute to file your tax return
Keep your PAN details accurate and updated	Don't share your PAN details with unverified sources

Loans, Credit & Tax Tips

For Individuals

- Build credit history early with a small credit card or loan, repaid responsibly
- Keep essential documents (PAN, ITR, loan statements) organised and accessible

For Families

- Compare loan offers together before committing to a large purchase
- Plan major expenses around loan EMIs to avoid over-committing income

For Students & Young Earners

- Understand education loan moratorium terms fully before borrowing
- Start building credit history responsibly as soon as you begin earning

For Senior Citizens

- Review applicable tax deductions and exemptions specific to senior citizens
- Be cautious of loan or credit offers that seem unusually easy to obtain

Practical Checklist

- [ ] Compared interest rates across lenders before taking a loan
- [ ] Understood the difference between secured and unsecured loans
- [ ] Checked your CIBIL score and reviewed the report for errors
- [ ] Paid all EMIs and credit card bills on time this month
- [ ] Compared the new and old tax regimes for your situation
- [ ] Confirmed PAN details are accurate and linked correctly
- [ ] Filed or planned to file your income tax return well before the deadline

Quick Revision Notes

- Secured loans (home, gold) generally have lower rates than unsecured loans (personal)
- EMI = Principal + Interest, spread across the loan tenure
- CIBIL score ranges from 300-900; 750+ is considered excellent
- New tax regime FY 2025-26/2026-27: income up to ₹12 lakh (₹12.75 lakh salaried) is tax-free
- GST 2.0 (Sept 2025) simplified slabs to primarily 0%, 5%, 18%, and 40%
- PAN is the core identifier linking your financial transactions and credit history

Key Takeaways

1. Understanding loan types and interest rates prevents costly borrowing mistakes
2. A good credit score is built through consistent, on-time repayment over years
3. Choosing the right tax regime can meaningfully reduce your tax liability
4. PAN and GST awareness are relevant to nearly every financial transaction, not just businesses
5. Small, disciplined habits in borrowing and tax filing protect your long-term financial credibility

Glossary

CIBIL Score — A three-digit credit score between 300 and 900 reflecting creditworthiness
Collateral — An asset pledged to secure a loan
EMI — Equated Monthly Instalment; a fixed monthly loan repayment
GST — Goods and Services Tax; an indirect tax on goods and services
ITR — Income Tax Return; the annual filing declaring income and tax paid
Moratorium — A period during which loan repayment is paused
PAN — Permanent Account Number; a unique financial identifier issued by the Income Tax Department
Rebate — A reduction in tax liability, sometimes to zero
Tenure — The agreed time period over which a loan is repaid

Frequently Asked Questions

1. What is a good CIBIL score?
A score of 750 or above is generally considered excellent and improves your chances of loan approval at better rates.

2. Does checking my own credit score lower it?
No — checking your own score is a "soft enquiry" and has no negative impact on your credit score.

3. Which tax regime should I choose?
It depends on your income and deductions — compare your tax liability under both regimes before deciding each year.

4. Is PAN mandatory for all bank accounts?
PAN is required for most financial transactions above specified limits, including many types of accounts and investments.

5. What changed under GST 2.0?
Effective September 2025, GST slabs were simplified to primarily 0%, 5%, 18%, and 40%, removing the earlier 12% and 28% slabs.

Official References

- Reserve Bank of India (RBI) — repo rate and lending rate guidelines
- Income Tax Department — tax slabs, PAN, and ITR filing
- GST Council / GSTN — GST rates and compliance
- Income Tax Department: **https://www.incometax.gov.in**
- GST Portal: **https://www.gst.gov.in**
- TransUnion CIBIL: **https://www.cibil.com**

Conclusion

Loans, credit, and taxation together shape much of your financial life — from the home you buy to the salary you keep after tax. Understanding how interest rates, EMIs, credit scores, and tax rules work turns these from confusing paperwork into tools you can use confidently and to your advantage.

This is only the next step in your Financial Literacy journey with JanGyan. Stay informed, stay disciplined, and remember: **borrow with a plan, repay on time, and file your taxes before the deadline, not after it.**

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Module 7 of the Financial Literacy & Digital Finance Category